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From: Dan Douglass [mailto:douglass@energyattorney.com]

Sent: Tuesday, September 11, 2001 10:30 PM

To: Vicki Sandler; Tamara Johnson; Mara, Susan; Steve Huhman; Roger Pelote; Rob Nichol; Randy Hickok; Nam Nguyen; Jim Crossen; Dasovich, Jeff; Janie Mollon; Jack Pigott; Greg Blue; George Vaughn; Gary Ackerman; Ed Cazalet; Denice Cazalet Purdum; Curtis Kebler; Curt Hatton; Corby Gardiner; Charles Miessner; Carolyn Baker; Bill Ross; Karen Shea; Max Bulk; ARM
Subject: TURN Comments on DWR Decision

As you know, a draft decision was issued a few days ago by ALJ Pulsiver regarding the DWR revenue requirement. Attached are TURN's comments. The introduction gives a cogent summary of the consumer group's view of DWR's demands:

"TURN continues to believe that CDWR has grossly inflated its revenue requirement by billions of dollars through the use of extremely high gas prices and ridiculously high ancillary service costs that are unrelated to current market conditions. We understand that CDWR has the right under the Water Code to completely ignore consumer interests, recognize that it has done so in this case, and have come to expect that the Department will continue to do so. CDWR, not the Commission, is the cause of a revenue requirement that is probably bloated by as much as \$2 billion of unnecessary costs."

TURN also concludes that the Draft Decision places too much of a burden on PG&E and advocates that the "Commission should also adopt TURN's weighted load method of allocating ancillary services among utilities so that PG&E's extensive self-provision of ancillary services is not siphoned off to benefit other utilities."

Its suggested rates are shown on the following table:

Dan

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